SiyaBusa ERP

INVESTOR FAQ

Investor & Partner Documentation

Masaphokati Technologies (Pty) Ltd

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WE RULE. WE GOVERN. WE EMPOWER.

📋 **ANTICIPATED QUESTIONS & ANSWERS**

A comprehensive collection of anticipated questions regarding the business model, technology stack, financial projections, and exit strategy.

The Business

Q: What exactly have you built?

A: SiyaBusa ERP is a complete, production-ready enterprise resource planning platform with:

- **25+ fully functional modules** (Sales, Purchase, Inventory, Manufacturing, HR, Finance, etc.)
- **400+ REST API endpoints** deployed and live
- **228+ database tables** with proper relationships
- **9 AI-powered assistants** for natural language queries
- **6 industry vertical modules** (Healthcare, Mining, Manufacturing, Property, Construction, Professional Services)
- **Native South African compliance** (SARS, BCEA, POPIA, B-BBEE)

The system is deployed on AWS infrastructure and accessible for demonstration.

Q: Who is your target customer?

A: South African mid-market businesses with:

- **Revenue:** R10M - R500M annually
- **Employees:** 50-500 people
- **Pain point:** Outgrown basic accounting (Xero, QuickBooks, Sage) but priced out of enterprise ERP (SAP, Oracle, Microsoft)
- **Need:** Full ERP capabilities — not just accounting, but manufacturing, warehouse, HR, compliance

Market size: 60,000+ businesses in South Africa alone.

Q: What makes you different from enterprise ERP vendors?

Factor	Global Vendors	SiyaBusa
Pricing	R50K-R200K/month	R8K-R25K/month (40% less)
SA Compliance	R500K-R2M+ localization project	Native, built-in
Implementation	6-12 months	4-8 weeks
AI Assistant	None or limited	9 specialized agents
Local Support	Via partners	Direct relationship

Note: We do not name specific competitors in public materials to comply with Advertising Standards Authority guidelines.

Q: Why would anyone use a startup ERP over SAP?

A: Three reasons:

1. **Price:** A 100-user SAP implementation costs R150K+/month plus R1-2M setup. We're R60K/month total with minimal setup fees.
2. **Speed:** SAP implementations take 6-18 months. We implement in 4-8 weeks because SA compliance is already built in.
3. **Fit:** SAP is designed for R1B+ enterprises. Mid-market businesses (R10M-R500M) are underserved by their model.

Many of our target customers *can't* afford SAP. We're not stealing their market — we're serving one they've ignored.

FINANCIALS

Q: Why R2 million?

A: This provides 12 months of runway to:

Category	Amount	Purpose
Sales & Marketing	R800K	Customer acquisition, brand building
Team Expansion	R600K	Sales, customer success, support
Operations	R300K	AWS, tools, legal, office
Product Enhancement	R200K	Features, integrations, UX
Working Capital	R100K	Reserve for opportunities

Total: R2,000,000

This is sufficient to reach 25+ paying customers and R150K+ MRR, positioning us for Series A.

Q: What are the investment terms?

Term	Detail
Investment Amount	R2,000,000
Investment Type	Ordinary Shares
Pre-Money Valuation	R10,000,000
Post-Money Valuation	R12,000,000
Equity Offered	16.67%
Minimum Investment	R100,000

Investor Rights

- Monthly financial reports
- Board observer seat (for investors holding 5%+)
- Pro-rata rights for future rounds
- Anti-dilution protection
- Tag-along rights

Q: When will you be profitable?

Timeline:

- **Jan-Mar 2026:** Beta testing (5 partners per industry = 30 total, R0 revenue)

- **Apr-Sep 2026:** Dependency building (15 partners, minimal revenue)
- **Oct-Dec 2026:** First real revenue (25 paying customers, R150K MRR)
- **Q1 2027:** Break-even (~28 customers at R8K average)
- **Q2 2027+:** Cash positive

We need ~R225K MRR to break even. At R8K average per customer, that's 28 customers.

Q: How do I get my money back? (Exit Strategy)

Primary Exit: JSE AltX Listing (Target Q2 2029)

We're building toward a public listing on the JSE AltX (Alternative Exchange), which provides:

- Clear liquidity event for early investors
- Public market pricing of shares
- Path to Main Board graduation

Exit Timeline

Milestone	Timeline	What Happens
Seed Round	Q1 2026	You invest, receive 16.67% equity
Series A	Q1 2028	New investors at higher valuation
Pre-IPO	Q4 2028	Final private round, 100+ shareholders
AltX Listing	**Q2 2029**	**Your shares become tradeable**

Return Potential (Realistic Scenarios)

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Investment: R2,000,000 for 16.67% equity (at R10M pre-money)

AltX Listing at R250M valuation (Base Case):
Your shares: 16.67% × R250M = ~R41.7M (before dilution)
After 3 rounds of dilution (~50%): ~R20.8M
Return: ~10x your investment

AltX Listing at R400M valuation (Upside Case):
Your shares: ~R33M after dilution
Return: ~16x your investment
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Alternative Exit Scenarios

Exit Type	How It Works	Typical Timeline
Strategic Acquisition	Larger company buys SiyaBusa	3-5 years
AltX IPO	Company lists on JSE AltX	Q2 2029 (target)
Secondary Sale	Sell shares to new investors	2-4 years
Main Board Graduation	Move from AltX to JSE Main Board	2030+

Who Might Acquire Us?

Potential Acquirer	Why They'd Be Interested
Global ERP vendors	Access to SA market with built-in compliance
African tech companies	Expand ERP offering
Private equity	Consolidation play in SA enterprise software
Accounting firms	Vertical integration

Honest Timeline Expectations

- **Minimum hold period:** 3-5 years (likely)
- **Typical startup exit:** 5-7 years
- **No guaranteed exit:** This is a risk you accept

Q: What's your revenue model?

Platform + Per-User subscription with EVERYTHING INCLUDED.

We Serve the Ignored Middle Market

Segment	Options	Problem
Small	Xero, QuickBooks	Accounting only
Mid-Market	**NOBODY**	**60K+ businesses ignored**
Enterprise	SAP, Oracle	R100K-R500K/month

Our Competitive Advantage: BUNDLED VALUE

Feature	SAP	Sage	SiyaBusa
SARS Integration	Extra R25K+		**INCLUDED**
Audit Tools	Extra R20K+		**INCLUDED**
AI Assistants			**INCLUDED**
Video/Chat	Zoom/Slack extra	Zoom/Slack extra	**INCLUDED**

Pricing Plans

Plan	Platform	Per User	Everything Included
Starter	R8,000	R650	Core ERP + SARS Sentinel + 3 AI Agents
Professional	R15,000	R950	+ Manufacturing, Audit Ready, Comms Hub, 9 AI
Enterprise	R25,000	R1,200	+ Multi-Entity, Payroll, Full Compliance, API
Corporate	R45,000	R1,500	+ Unlimited, Industry Modules

Example: 25-User Manufacturer

	SiyaBusa	SAP B1
Platform + Users	R38,750	R97,500
SARS/Compliance	**INCLUDED**	+R45,000
TOTAL	**R38,750/mo**	**R142,500/mo**

SiyaBusa saves R1.25M/year and includes MORE features.

Only industry-specific modules (Healthcare, Mining, Construction) are add-ons.

Q: Why don't you have revenue yet?

Strategic choice. We're following a "land and expand" strategy:

1. **Build dependency first:** Companies that use a system for 6+ months don't switch easily
2. **Word-of-mouth:** Free beta creates advocates who recruit paying customers
3. **Product-market fit:** Beta feedback ensures we're building what customers actually need
4. **Case studies:** We need success stories before mass marketing

This is how Slack, Zoom, and many B2B SaaS companies grew.

Q: What happens if you don't raise funds?

We continue on a slower path:

- AWS Free Tier limits capacity to ~5 customers
- No marketing means organic-only growth (slower)
- No dedicated support means founder-only operations

The product exists. The opportunity exists. Capital accelerates the timeline.

PRODUCT & TECHNOLOGY

Q: Is the product actually finished?

A: The platform is production-ready with 25+ complete modules. However:

Complete	In Progress	Planned
All 25 core modules	SARS API integration (awaiting SARS approval)	Mobile apps
400+ API endpoints	Performance optimization	Additional integrations
Multi-tenant architecture	UI polish	Advanced analytics
AI assistants		

We can onboard customers today. Remaining work is enhancement, not core functionality.

Q: What technology stack are you using?

Layer	Technology	Why
Frontend	React 18, TypeScript, Vite	Modern, fast, maintainable
Backend	Node.js, Express, TypeScript	Scalable, large ecosystem
Database	PostgreSQL (AWS RDS)	Enterprise-grade, reliable
Cache	Redis (ElastiCache)	High-performance
Cloud	AWS (EC2, RDS, S3, CloudFront)	Industry standard, SA presence
AI	OpenAI GPT-4	Best-in-class language model

Q: Can I see a demo?

Absolutely. We have a live demo environment. Contact us to schedule a personalized walkthrough of:

- The modules relevant to your interests
- The AI assistant in action
- The SA compliance features (SARS, PAYE, etc.)

TEAM & EXECUTION

Q: Who is on the team?

Current:

- Founder/Developer: 18 months building this platform
- No external employees (lean operation)

Post-funding:

- Contract Customer Success Manager
- Part-time Technical Support
- Marketing partnerships (agencies)

We're intentionally lean. No fancy salaries — maximum capital efficiency.

Q: Why should we trust a small team to compete with enterprise vendors?

A: We're not competing with enterprise ERP everywhere. We're targeting a segment they've abandoned:

- Enterprise vendors make R200K+ per customer. They don't pursue R10K customers.
- We've built equivalent functionality for this specific market.
- Our compliance advantage (18 months of SA-specific development) is a moat.

Plus: Every major software company was a startup once. Market gaps get filled by those who see them.

Q: What if a big player copies you?

Three defenses:

1. **SA Compliance Depth:** 18 months of SARS, BCEA, POPIA-specific development isn't easily replicated. Global vendors have historically not prioritized this.
2. **Speed to Market:** By the time SAP decides to build SA-specific features, we'll have 100+ customers and deep market knowledge.
3. **Price Position:** Global vendors can't profitably serve R10K/month customers. Their cost structure doesn't allow it.

MARKET & COMPETITION

Q: How do you know there's demand?

Evidence:

1. **Competitor Pricing:** SAP, Oracle charge R50K-R200K/month — someone is paying
2. **Market Research:** 60,000+ mid-market SA businesses (Stats SA Business Register 2024)
3. **Anecdotal Validation:** Every business owner we've spoken to has this pain point
4. **Global Trends:** Cloud ERP growing 18% YoY (IDC South Africa IT Spending Forecast)

Research Sources (Verifiable)

Claim	Source	How to Verify
60,000+ mid-market businesses	Statistics South Africa Business Register 2024	www.statssa.gov.za → Publications → Business Register
R10M-R500M revenue segment	SARS Company Income Tax Statistics	www.sars.gov.za → Tax Statistics
18% YoY software growth	IDC South Africa IT Spending Guide 2024	Request from IDC (www.idc.com)
R8B+ ERP market size	Gartner Magic Quadrant for Cloud ERP	Request from Gartner (www.gartner.com)
Enterprise ERP pricing	Vendor partner websites	SAP, Oracle, Microsoft partner pricing pages
Implementation timelines	Industry surveys	Panorama Consulting ERP Report

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Q: What's your competitive moat?

Moat	Explanation
SA Compliance	18 months of PAYE, UIF, SDL, BCEA, SARS development
Price Point	40% below global vendors with sustainable margins
Implementation Speed	4-8 weeks vs. 6-12 months
Local Knowledge	Understanding of SA business practices, regulations, culture
AI Integration	9 specialized agents — ahead of most competitors

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Q: What are the risks?

Honest assessment:

Risk	Mitigation
Customer acquisition slower than expected	Conservative projections, 12-month runway
Global vendor enters market aggressively	Our price point makes this unprofitable for them
Technical scaling issues	Cloud-native architecture designed for scale
Key person dependency	Documentation, code quality, eventual team expansion
Economic downturn	ERP is often countercyclical (efficiency focus)

INVESTMENT TERMS

Q: What are you offering?

Term	Detail
Instrument	SAFE (Simple Agreement for Future Equity)
Amount	R2,850,000
Valuation Cap	R15,000,000
Discount	20%

Q: Why a SAFE instead of equity?

Efficiency:

- Faster closing (weeks, not months)
- Lower legal costs
- Standard instrument (YC-style)
- Converts at next priced round

We prioritize speed to market over complex negotiations.

Q: What's the expected return?

Scenario	3-Year ARR	Valuation (5x)	ROI
Conservative	R24M	R120M	42x
Base Case	R36M	R180M	63x
Optimistic	R60M	R300M	105x

ERP companies typically valued at 5-10x ARR. We've used 5x conservatively.

Q: When is the next funding round?

Expectation: Series A in 18-24 months, contingent on:

- R3M+ ARR
- 50+ paying customers
- Proven unit economics
- Repeatable sales process

NEXT STEPS

Q: How do I proceed if interested?

1. **Request demo:** See the product in action
2. **Due diligence:** We'll provide technical access, financial details, customer pipeline
3. **Term discussion:** Negotiate specifics if needed
4. **Documentation:** Sign SAFE, wire funds
5. **Onboard:** Monthly reporting begins

Q: Who else is investing?

Currently seeking our first institutional/angel investors. We've bootstrapped to this point.

Q: Can I speak to potential customers?

Yes. We can introduce you to beta partner candidates who have expressed interest. Their feedback validates market demand.

Questions we didn't anticipate? Ask us directly.

Contact: [Your Email] | [Your Phone]